
Answers

1 Consolidated statement of financial position of Alpha as at 30 June 20X8
 [Note: all figures below in \$'000]

	\$'000
Assets	
Non-current assets	
Property, plant and equipment (\$796,000 + \$380,000 + \$24,000 (W1))	1,200,000
Goodwill (W2)	20,040
Investment in Gamma (W7)	103,000
	<u>1,323,040</u>
Current assets	
Inventories (\$256,000 + \$128,000 – \$7,000 (W5))	377,000
Trade receivables (\$224,000 + \$104,000 – \$28,000)	300,000
Cash and cash equivalents (\$64,000 + \$45,000 + \$28,000)	137,000
	<u>814,000</u>
Total assets	<u><u>2,137,040</u></u>
Equity and liabilities	
Equity attributable to equity holders of the parent	
Share capital (\$1 shares)	672,000
Retained earnings (W5)	351,190
Other components of equity (W6)	159,500
	<u>1,182,690</u>
Non-controlling interests (W4)	115,550
Total equity	<u>1,298,240</u>
Non-current liabilities	
Long-term borrowings (W9)	329,000
Deferred tax liabilities (\$64,000 + \$18,000 + \$4,800 (W1))	86,800
Total non-current liabilities	<u>415,800</u>
Current liabilities	
Payables for goods and services received and other payables (\$168,000 + \$105,000)	273,000
Income taxes payable (\$96,000 + \$54,000)	150,000
Total current liabilities	<u>423,000</u>
Total liabilities	<u>838,800</u>
Total equity and liabilities	<u><u>2,137,040</u></u>

Working 1 – Net assets table for Beta

	1 July 20X2 \$'000	30 June 20X8 \$'000
Share capital	180,000	180,000
Retained earnings:		
Per financial statements of Beta	100,000	205,000
Fair value adjustment to PPE [post-acquisition additional depreciation on building = (\$120,000 – \$100,000) x 6/20 = \$6,000]	30,000	24,000
Deferred tax on fair value adjustment	(6,000)	(4,800)
Other components of equity	48,000	58,000
Net assets for the consolidation	<u>352,000</u>	<u>462,200</u>

Post-acquisition increase in net assets (\$462,200 – \$352,000) = \$110,200. \$10,000 (\$58,000 – \$48,000) of this relates to other components of equity and the balance of \$100,200 (\$110,200 – \$10,000) to retained earnings.

Working 2 – Goodwill on acquisition of Beta

	\$'000
Cost of shares purchased	291,000
Non-controlling interests at date of acquisition (25% x \$352,000 (W1))	88,000
Net assets at date of acquisition (W1)	(352,000)
Original goodwill on acquisition equals	27,000
Impairment of goodwill on 30 June 20X8 (W3)	(6,960)
So, Beta goodwill on 30 June 20X8 equals	20,040

Working 3 – Impairment of Beta goodwill

	Unit A (60%) \$'000	Unit B (40%) \$000	Total \$'000
Net assets at reporting date (W1)	277,320	184,880	462,200
Grossed up goodwill (100/75 x \$27,000)	21,600	14,400	36,000
	298,920	199,280	498,200
Recoverable amount	302,000	190,000	
So impairment loss (allocated to goodwill) equals	Nil	9,280	
Group share only recognised (75%)		6,960	

Working 4 – Non-controlling interests in Beta

	\$'000
25% x net assets on 30 June 20X8 (\$462,200 (W1))	115,550

Working 5 – Retained earnings

	\$'000
Alpha – per draft SOFP	288,000
Acquisition costs of investments in Beta and Gamma (\$4,000 + \$3,000)	(7,000)
75% of post-acquisition share of Beta' profits (75% x \$100,200 (W1))	75,150
Unrealised profit on sales to Beta (20/120 x \$42,000)	(7,000)
Impairment of Beta goodwill (W3)	(6,960)
Share of profits of Gamma (W7)	13,000
Finance cost of zero-coupon bond (\$100,000 x 8% x 6/12)	(4,000)
	351,190

Working 6 – Other components of equity

	\$'000
Alpha – per own SOFP	152,000
Beta (75% x \$10,000 (W1))	7,500
	159,500

Working 7 – Investment in Gamma

	\$'000
Cost	90,000
Share of post-acquisition profits (1/3 x \$39,000 (W8))	13,000
	103,000

Working 8 – Post-acquisition profits of Gamma

	\$'000
Increase in retained earnings since 1 July 20X5 (\$315,000 – \$270,000)	45,000
Unrealised profit on Alpha sales to Gamma (\$36,000 x 20/120)	(6,000)
	39,000

Working 9 – Long-term borrowings

	\$'000
Alpha plus Beta – per draft financial statements	325,000
Finance cost on zero-coupon bond (W5)	4,000
	329,000

2 (a) Attachment 1 to email

Accounting for employee benefits applies IAS 19 – *Employee Benefits*.

Plan A

Under Plan A, once the company has made the contributions required by the plan agreement, it has no further obligation in respect of retirement benefits. This means that plan A is a defined contribution plan.

Therefore, it is appropriate to recognise the contributions payable for the period as the company cost in these circumstances.

In the case of Green, the contributions payable in respect of plan A employees for the year ended 30 June 20X8 are **\$3 million** (\$30 million x 10%). \$3 million should be charged **to profit or loss as an operating expense**.

The unpaid contributions of **\$600,000** (\$3 million – \$2.4 million) should be shown as a **current liability in the statement of financial position** of Green on 30 June 20X8.

Plan B

The benefits payable to retired employees who are members of plan B are based on the final salary of the relevant employee at retirement date and the length of service. This makes plan B a defined benefit plan.

Under a defined benefit plan, the contributing company has a legal or constructive obligation to fund any retirement benefits which cannot be funded out of the assets of the plan. Therefore, it is appropriate to recognise any such obligation in the financial statements of the contributing company.

In the case of Green, the net obligation at the reporting date is **\$800,000** (\$7.2 million – \$6.4 million). \$800,000 should be shown as a **non-current liability** in the **statement of financial position** of Green on 30 June 20X8.

When accounting for a defined benefit retirement benefits plan in the financial statements of a contributing employer, it is **not appropriate** to show the contributions as an operating expense in profit or loss. The **current service cost** (in this case \$2.5 million) should be shown instead.

Given the recognition of a liability which is measured at present value, IAS 19 requires contributing companies to present an **interest expense** in profit or loss. The interest expense is computed by applying the rate of return on **high-quality corporate bonds at the start of the year** to the **net defined benefit liability at the start of the period**.

In this case, the relevant net interest expense is \$30,000 (W1).

IAS 19 also requires the gain or loss on remeasurement of the defined benefit retirement benefit asset/liability at each year end to be recognised as an actuarial gain or loss in other comprehensive income.

In this case, the relevant actuarial gain or loss is a net gain of \$230,000 (W1).

Workings for attachment 1 (all numbers in \$'000)

Working 1 – Actuarial gain or loss on remeasurement of net defined benefit liability

	Obligation \$'000	Asset \$'000	Net \$'000
Balance on 1 July 20X7	(6,600)	6,000	(600)
Interest cost (5%)	(330)	300	(30)
Current service cost	(2,500)		(2,500)
Contributions by Green		2,100	2,100
Benefits paid out	1,000	(1,000)	–
	<u>(8,430)</u>	<u>7,400</u>	<u>(1,030)</u>
Remeasurement gain/(loss) – balancing figure	<u>1,230</u>	<u>(1,000)</u>	<u>230</u>
Balance on 30 June 20X8	<u>(7,200)</u>	<u>6,400</u>	<u>(800)</u>

Attachment 2 to email

Accounting for the sale of the asset to C is laid out in IFRS 15 – *Revenue from Contracts with Customers*. The first step in the revenue recognition process is to identify the contract with C. Based on the information provided, a contract clearly exists in this case.

The second stage is to identify the performance obligation under the contract. In this case, the performance obligation is to construct the asset for C.

IFRS 15 requires that revenue is recognised as the performance obligation is satisfied. This can be either over a period of time or at a point in time. In this case, the performance obligation is satisfied at a point in time because C does not control the asset until construction has been completed and the asset has been transferred to the customer.

The revenue from the sale of the asset cannot be recognised at the date of delivery because of the right of return by C in the three-month period between 1 January 20X8 and 31 March 20X8.

The right of return by C creates a significant uncertainty regarding the ultimate outcome due to the lack of historical evidence of transactions with C, as they are a new customer. Therefore, revenue recognition is delayed until 31 March 20X8.

On 1 January 20X8, when the asset is delivered to C, \$30 million is removed from inventory and recorded as a 'right of return asset'.

The amount of revenue which is recognised on 31 March 20X8 is affected by the fact that this sales contract contains a significant financing component.

In such circumstances, IFRS 15 requires that the amount of revenue which is recognised should reflect the price which C would have paid had the repayment terms been in accordance with Green's normal credit arrangements. Therefore, the amount of revenue which should be recognised on 31 March 20X8 is \$40 million and not \$48.4 million.

On 31 March 20X8, the 'right of return asset' is de-recognised and \$30 million is taken to cost of sales.

On 31 March 20X8, Green will recognise a trade receivable of \$40 million as a financial asset.

The difference of \$8.4 million (\$48.4 million – \$40 million) between the amount of revenue recognised on 31 March 20X8 and the amount receivable from the customer two years later will be recognised as interest income over the two-year period commencing 1 April 20X8.

The interest income for the year ended 30 June 20X8 will be \$1 million (\$40 million x 10% x 3/12). This will be included in the operating category of the statement of profit or loss.

The closing trade receivable will be \$41 million (\$40 million + \$1 million). This will be shown as a non-current asset in the statement of financial position.

(b) Email from FD

You are in danger of breaching the fundamental ethical principle of **objectivity**. You have a personal interest in reporting a favourable profit because of the possibility of a profit-related bonus.

This danger of breaching **objectivity** is increased by the fact that the FD has indicated that there may be a job opportunity for your brother should you co-operate in this process. This could be interpreted as an **intimidation threat** to deter you from working objectively.

You also may be breaching the fundamental ethical principle of **professional competence and due care**. As only part qualified and only part-way through a training programme you may well not be competent enough to make a decision on the complex transactions outlined by the FD.

You are also breaching the fundamental ethical principle of **integrity**. It is at least possible that the FD is deliberately seeking to falsify the financial statements. If you are complicit and comply with the instructions of the FD, then there is a danger that this principle will be breached.

3 (a) Question 1

IAS 38 – *Intangible Assets* deals with the recognition and measurement rules regarding intangible assets.

IAS 38 states that intangible items can only be recognised as assets if they are non-monetary and identifiable without physical substance. Otherwise, they are indistinguishable from goodwill.

An asset is identifiable if it is either separable (i.e. being capable of being sold or otherwise exchanged) from the entity or arises from contractual or other legal rights, regardless of whether these rights are transferable or separable.

Question 2

Additional recognition requirements are that the asset has a cost which can be measured reliably and that future economic benefits are expected to flow to the entity because of ownership of the asset.

In practice, this means that the recognition (or otherwise) of intangible items as assets depends on how they arose.

If an intangible item is **separately purchased**, it can be initially recognised at its cost of purchase, provided it satisfies the other recognition requirements mentioned above. Therefore, the cost of legally registering a brand name such as the **Epsilon brand name** could be recognised as an intangible asset, based on its registration cost. This legal protection would be a separate intangible asset from the brand.

If an intangible item is acquired as part of a business combination, then provided the fair value of the intangible item can be reliably measured, the intangible item can be recognised as an asset in the consolidated financial statements of the acquiring entity. In such circumstances, the intangible item would be recognised at its fair value at the date of acquisition. The principles of IFRS 13 – *Fair Value Measurement* – would be used to arrive at 'fair value' in these circumstances. This explains why the brand names of Frankie can be recognised as intangible assets in the consolidated financial statements of Epsilon.

Items which are generated internally within a business do not usually satisfy the identifiability requirements set out in IAS 38 and cannot be separated from goodwill. This explains why Epsilon's own brand name cannot be recognised as an intangible asset in its own financial statements, even though the legal protection is recognised.

There is an exception to the general rule re: internally developed items in the case of research and development projects. Provided certain conditions are satisfied, expenditure relating to the development phase of a project must be recognised as an intangible asset.

The conditions which need to be satisfied are basically that the project can reasonably be seen to be technically feasible, commercially viable and profitable. There also needs to be adequate resources within the entity to complete the project, and it should be possible to reliably measure the expenditure relating to the project.

This explains why the costs relating to some of Epsilon's research and development projects are not recognised as assets at all, whilst only some of the costs (those relating to the development phase) of other projects are recognised in this way if they have met the above criteria.

Project costs written off to profit or loss remain so even when the project subsequently meets the criteria to be capitalised as development costs.

Following initial recognition, intangible assets with a finite useful life should be measured at cost less accumulated amortisation.

Intangible assets with an indefinite useful life should not be subject to amortisation charges but should be reviewed annually for evidence of impairment.

The revaluation model can be applied to intangible assets but only where there is an active market for the relevant intangible. Given the nature of intangible assets, this is relatively rare.

- (b) (i)** Under the principles of IFRS 3 – *Business Combinations* – the net assets of Frankie on 1 October 20X5 should initially be incorporated into the consolidated financial statements of Epsilon based on their fair value at that date.

This means that the initial carrying amount of the property, plant and equipment (PPE) of Frankie in the consolidated financial statements of Epsilon will be \$38 million.

Under the principles of IAS 16 – *Property, Plant and Equipment* – the PPE of Frankie will be depreciated over its useful life of five years.

This means that, for the year ended 31 March 20X6, the consolidated financial statements of Epsilon will include depreciation of \$3.8 million ($\$38 \text{ million} \times 1/5 \times 6/12$). This will be shown as an operating expense in the consolidated statement of profit or loss.

The net carrying amount of the PPE in the consolidated statement of financial position on 31 March 20X6 will be \$34.2 million ($\$38 \text{ million} - \3.8 million). The PPE will be presented under non-current assets.

Because the brand name has a value which could be reliably measured on 1 October 20X5, it will be recognised in the consolidated statement of financial position on that date at its fair value of \$8 million. Since the useful life of the brand name is indefinite, it will not be subject to an amortisation charge.

When intangible assets are not amortised, then IAS 38 requires that they must be subject to an annual impairment review. This involves comparing the carrying amount of the asset with its recoverable amount.

In this case, no impairment is evident because the carrying amount is \$8 million and the recoverable amount is \$9 million. Therefore, an intangible asset of \$8 million will be presented under non-current assets in the consolidated statement of financial position on 31 March 20X6.

IAS 38 specifically mentions there can be no active market for brands, therefore revaluations of brand names is not permitted. It would not have been possible to revalue the brand name for inclusion in the consolidated financial statements.

- (ii)** IAS 38 does not allow expenditure incurred during the research phase of a research and development project to be capitalised. Therefore, apart from the costs of purchasing machinery for use on the project (see below), the costs incurred in this period should be taken to profit or loss as an operating expense.

The \$90 million spent on machinery for use on the project would, under the principles of IAS 16, be recognised as a non-current asset and depreciated over its useful life.

The depreciation of \$4.5 million ($\$90 \text{ million} \times 1/5 \times 3/12$) relating to the three-month period to 30 June 20X5 would be recognised in profit or loss as an operating expense.

Depreciation of \$6 million ($\$90 \text{ million} \times 1/5 \times 4/12$) for the four-month period from 1 July 20X5 to 31 October 20X5 would be regarded as a development expense and shown as part of the intangible asset which is recognised relating to the development phase.

Depreciation for the remaining five months of the year of \$7.5 million would be recognised in profit or loss as an operating expense. The closing carrying amount of the non-current asset would be \$72 million ($\$90 \text{ million} - \$4.5 \text{ million} - \$6 \text{ million} - \7.5 million).

Expenditure incurred during the development phase of the project is recognised as an intangible asset. However, the general fixed overheads of \$13.5 million ($\$4.5 \text{ million} + \9 million) which were allocated to the project cannot be treated as part of this asset but should be taken to profit or loss as an operating expense.

The intangible asset which will be recognised on 1 November 20X5 will be \$30 million (Working).

IAS 38 does not allow the costs of training employees to adopt new processes to be recognised as part of an intangible asset. Therefore, the training costs of \$1.5 million incurred in November 20X5 would be taken to profit or loss as an operating expense.

IAS 38 requires the costs capitalised as an intangible asset to be amortised over its useful life. Amortisation should start from the date the asset is available for use – meaning it is in the condition necessary for it to be capable of operating in the manner intended by management. In this case, that date is 1 December 20X5, because only from this date are the users able to operate the new process.

In this case, the amortisation for the year ended 31 March 20X6, recognised in profit or loss as an operating expense, would be \$2.5 million (\$30 million $\times$ $\frac{1}{4} \times \frac{4}{12}$).

Epsilon would recognise an intangible asset of \$27.5 million (\$30 million – \$2.5 million) in its statement of financial position on 31 March 20X6.

Working – Intangible asset and associated profit or loss charges

Item	Included in	
	P/L \$'000	SOFP \$'000
Materials	4,000	8,000
Staff costs and specific overheads	8,000	16,000
General overheads (4,500 + 9,000)	13,500	
Depreciation (90,000 $\times$ $\frac{1}{5}$ years $\times$ $\frac{8}{12}$ months and 90,000 $\times$ $\frac{1}{5}$ years $\times$ $\frac{4}{12}$ months)	12,000	<u>6,000</u>
Training costs	1,500	
Total		30,000
Amortisation (30,000 $\times$ $\frac{1}{4}$ years $\times$ $\frac{4}{12}$ months)	2,500	<u>(2,500)</u>
Carrying amount at 31 March 20X6		<u>27,500</u>

4 Exhibit 1

The treatment of the two items you describe is set out in **IAS 10 – Events After the Reporting Period**. IAS 10 deals with events occurring **after** the reporting date but **before** the financial statements are authorised for issue. Since the financial statements have **not yet been authorised** for issue, IAS 10 is relevant here.

IAS 10 classifies events after the reporting period into two types – adjusting and non-adjusting events.

Adjusting events provide more information about conditions at the reporting date. Therefore, the financial statements should be adjusted to take account of this additional information.

In the case of issue 1, the formal declaration of insolvency of the customer on 7 July 20X9 almost certainly meant that on 30 June 20X9 the financial position of the customer was such that they would have been unable to repay the amount owing. We were aware before the year end of the customers financial difficulties.

Therefore, it is justified to recognise an impairment loss in respect of the receivable in the financial statements for the year ended 30 June 20X9. The insolvency is confirming conditions which existed at the 30 June 20X9.

A non-adjusting event relates solely to conditions arising after the reporting date.

In such circumstances, the financial statements themselves should **not** be adjusted to reflect their impact but **full details** of the events should be disclosed in the **notes** to the financial statements if the matter is judged to be **material**.

This circumstance applies in issue 2 as the factory was **undamaged** on 30 June 20X9.

The only exception to the treatment of non-adjusting events described above is where the event impacts on the going concern status of the entity. In such circumstances, the event would need to be treated as an adjusting event – this is not the case here.

Exhibit 2

The treatment of the items described is set out in **IAS 37 – Provisions, Contingent Liabilities and Contingent Assets**. You are correct that a provision is a liability where the amount or timing is uncertain.

IAS 37 states that a provision is recognised where the relevant entity has a present obligation arising out of a past event and it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation. It is also necessary that the obligation can be reliably measured.

1. In the case of the action brought by customer A, the conditions are all satisfied – the supply of goods was made prior to 30 June 20X9, the likelihood of the claim succeeding is 60%, and the damages which are likely to be awarded can be quantified. Therefore, a provision is necessary.

In the case of employee B, the 'probability criterion' is not satisfied since the likelihood of success is only 25%. Therefore, no provision is necessary.

Under the principles of IAS 37, a provision is measured at the best estimate of the expenditure required to settle the obligation at the reporting date.

Where a single obligation is being measured, IAS 37 states that this 'best estimate' is usually the individual most likely outcome. The 'expected value' approach you refer to would be appropriate if we were measuring a provision relating to a large population of items.

Therefore, a provision of \$2 million is appropriate in the case of the claim being made by customer A as this is the most likely outcome. This would be presented as a current liability in the statement of financial position.

Potential liabilities where there is a possible, but not probable, outflow of economic benefits are referred to as contingent liabilities. This is the case regarding the legal claim by employee B.

Contingent liabilities are **not recognised** in the statement of financial position but information regarding the possible financial implications and the likelihood of any outflow of economic benefits would be **disclosed** in the notes. **This is the treatment required for the claim by employee B.**

2. (a) *Why are we recognising a provision at all when we have no legal obligation to restore the site?*

IAS 37 states that obligations **need not be legally enforceable** in order to qualify as obligations. Obligations can also be **constructive**.

A constructive obligation is one where, by an established pattern of past practice, an entity has created an expectation that it will discharge the potential obligation.

In the case of the new mine, we would therefore recognise a provision for the future restoration cost since by our past practice of choosing to restore sites, we have a constructive obligation.

(b) *The provision we have recognised is \$12.28 million. How is this figure arrived at? The notes to my file state that a relevant discount rate is 5% but what has that got to do with the amount of the provision?*

Where the time value of money is material, IAS 37 states that the provision should be measured at the present value of the future expenditure required to settle the obligation.

In the case of the new mine, the provision recognised would be the present value of \$20 million payable in ten years' time. This is the \$12.28 million which has been calculated using a discount rate of 5%. **No need to recalculate this figure for the marks.**

(c) *I know that when a provision is initially recognised, that is a credit entry in the financial statements. Where is the debit entry posted?*

Where a provision relates to the initial estimate of restoring the site on which an asset is located, then, under the principles of IAS 16 – *Property, Plant and Equipment* –, the amount is recognised as part of the initial cost of the asset rather than being taken straight to profit or loss.

Exhibit 3

(a) *How is it possible that Omega and Minnie account for borrowing costs relating to the construction of a non-current asset differently? Is one of the two entities accounting for them incorrectly?*

You are perfectly correct that IFRS Accounting Standards require the capitalisation of borrowing costs in certain circumstances. IAS 23 – *Borrowing Costs* – states that borrowing costs which are directly attributable to the construction of an asset shall be recognised as part of the cost of that asset.

The International Accounting Standards Board (IASB) has produced a single standard – *the IFRS for SMEs Accounting Standard* – which can be used by certain entities as an alternative to full IFRS Accounting Standards.

The IFRS for SMEs can be used by entities which are not publicly accountable. Given the description of Minnie, it is likely that Minnie meets this criterion and so would be eligible to use the IFRS for SMEs.

One of the differences between the IFRS for SMEs and full IFRS is that the IFRS for SMEs **prohibits** the capitalisation of borrowing costs in any circumstances. Therefore, the individual financial statements of Minnie comply with the IFRS for SMEs in this respect.

(b) *If Minnie's method of accounting for these borrowing costs is acceptable, then why is it necessary to adjust for this treatment when we consolidate?*

IFRS 10 – *Consolidated Financial Statements* – requires that uniform accounting policies be applied to the results of all group entities when preparing the consolidated financial statements. Therefore, certain adjustments relating to the Minnie amounts will be required to meet the requirements of full IFRS Accounting Standards.

	<i>Marks</i>
1 Consolidated statement of financial position	
Non-current assets	
– Property, plant and equipment	1
– Goodwill	7
– Investment in Gamma	2
Current assets	
– Inventories	1
– Trade receivables	1
– Cash and cash equivalents	1
Equity	
– Share capital	0·5
– Retained earnings	
o Acquisition costs	1
o Post acquisition share of Beta	1·5
o Goodwill impairment	1
o Share of profit of Gamma	0·5
o Unrealised profit adjustment	1
o Finance costs on bond	1
– Other components of equity	1
– Non-controlling interest	1
Non-current liabilities	
– Long-term borrowings	1
– Deferred tax	1
Current liabilities	
– Trade and other payables	1
– Current tax payable	0·5
	<u>25</u>
2 (a) Exhibit 2	
– Plan A	
– Explanations per IAS 19	1·5
– Calculations	1
– Plan B	
– Explanations per IAS 19	3·5
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– Explanations per IFRS 15	7·5
– Calculations	2·5
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(b) Ethics	<u>5</u>
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		Marks
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	– New subsidiary	
	o Explanations per IAS 38 and IFRS 3	5
	– Research and development	
	o Explanation per IAS 38	7
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	(b) Exhibit 2	
	(i) o Explanation of property, plant and equipment per IAS 16	2
	o Explanation of brand names per IFRS 3 and IAS 38	2
	o Calculations	1
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4	Exhibit 1	
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	Exhibit 2	
	– Explanations per IAS 37	
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	– Explanations per IAS 23 and IFRS 10	
	o For question 1 (IAS 23)	5
	o For question 2 (IFRS 10)	2
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